

Risk-Profiling Matrix

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Capacity × tolerance for risk

PROFESSIONAL DEFINITION

The Risk-Profiling Matrix assesses an investor by both risk capacity (ability to bear loss) and risk tolerance (willingness to bear it), guiding suitable portfolio risk.

WHO DEVELOPED IT

A construct from financial-advice and suitability practice, reflected in regulatory suitability requirements.

WHY IT WAS DEVELOPED

It was developed to ensure portfolios match both the investor's financial ability and psychological willingness to bear risk.

FIGURE 1 · RISK-PROFILING MATRIX

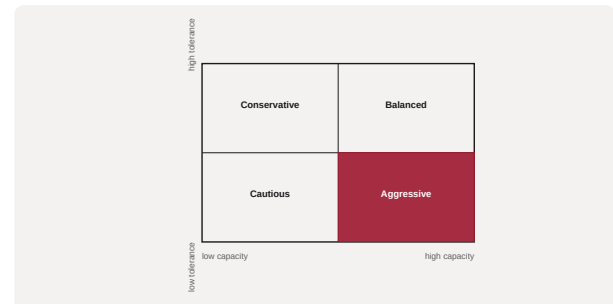


Figure 1. A schematic of the Risk-Profiling Matrix as applied in BARBM312 (illustrative).

HOW IT IS USED

The investor is placed by capacity and tolerance; portfolio risk is set to the lower of the two to ensure suitability.

WHEN IT IS USED

When determining suitable investment risk, including in robo-advice.

BY WHOM IT IS USED

Advisers, wealth managers and compliance teams.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It separates capacity from tolerance, preventing mismatches that pure questionnaire scores miss.

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SOURCES (HARVARD REFERENCING STYLE)

Grable, J.E. and Lytton, R.H. (1999) 'Financial risk tolerance revisited', Financial Services Review, 8(3).

FCA (2011) 'Assessing suitability', Financial Conduct Authority.